www.tntextbooks.in

Illustration 12

A company purchased machinery costing ` 90,000 on January1, 2015 and spent ` 10,000 on its erection. On July 1, 2017, the machinery was sold for ` 58,000. The company writes off depreciation at 20% p.a. under written down value method. Prepare machinery account. The books are closed on 31st December every year.

Solution

Ledger accounts

Dr. **Machinery Account** **Cr.**

Date	Particulars	`	Date	Particulars	`
2015			2015		
Jan 1	To Bank A/c	90,000	Dec 31	By Depreciation A/c	20,000
	To Bank A/c	10,000		(1,00,000 × 20%)	
			Dec 31	By Balance c/d	80,000
		1,00,000			1,00,000
2016			2016		
Jan 1	To Balance b/d	80,000	Dec 31	By Depreciation A/c	16,000
				(80,000 ×20%)	
			Dec 31	By Balance c/d	64,000
		80,000			80,000
2017			2017		
Jan 1	To Balance b/d	64,000	July 1	By Depreciation A/c	6,400
				(64,000 ×20/100 × 6/12)	
	To Profit & Loss A/c	400	July 1	By Bank A/c	58,000
	(Profit on sale)				
		64,400			64,400

Illustration 13

A Ltd., purchased a machine on 1st January 2014 for ` 60,000. On 1st July 2014, it purchased another machine for ` 50,000. On 1st July 2015, the company sold the machine purchased on 1st January 2014 for ` 40,000. It was decided that the machine be depreciated at 10% per annum on diminishing balance method. Show the machinery account for the years 2014 to 2016. The accounts are closed on December 31st, every year.

Solution

Ledger accounts

Dr. **Machinery Account** **Cr.**

Date	Particulars	`	Date	Particulars	`
2014			2014		
Jan 1	To Bank A/c	60,000	Dec 31	By Depreciation* A/c	8,500
July 1	To Bank A/c	50,000	Dec 31	By Balance c/d	1,01,500
		1,10,000			1,10,000